

Hindustan Copper Limited
Chairman Speech
48th AGM
17 August, 2015 Kolkata

Dear Shareholders, Ladies & Gentlemen

Very Good Morning!

It is a great honour and privilege for me to address all of you on behalf of the Board of Directors and I am delighted to welcome all the shareholders to the 48th Annual General Meeting of your Company. Your large presence, in this important meeting, is the testimony of your strong support and faith in us and this inspires us to achieve newer milestones of success.

The Annual Report for the year ended 31st March, 2015 along with the AGM notice, Directors' Report and the audited Annual Accounts of the Company have been circulated to you. With your permission, I take them as read. Now, with your permission, I would like to dwell on the developments in the Indian economy and copper sector.

The Economy

World economy is passing through a difficult phase; we are living in a world where volatility and uncertainty have become order of the day. Overall the global economy remained on a weak and uncertain footing throughout the year. The improved outlook of the US economy was negated by the slowdown in China and constraints in the Euro zone economies; in effect, the much anticipated turnaround in the global economy has been markedly subdued.

In July's update of its World Economic Outlook, the IMF has revised down its global GDP growth forecast for 2015 by 0.2 percentage points to 3.3%, a modest slowdown from 3.4% growth in 2014. In 2016, growth is projected to accelerate to 3.8%, unchanged from the last update.

The IMF noted that there are downside risks to China's economy, including greater difficulties in its transition to a new growth model, as illustrated by the recent financial market turbulence. However, Indian Economy is looking-up with brighter prospects amongst the world's major economies and in cyclical uptrend with key macro economic indicators turning favourable. The growth rate in GDP which was driven by domestic demand in 2014-15 was at 7.4 per cent and growth for 2015-16 is expected to be 8.1-to 8.5 per cent.

Indian economy is fundamentally strong and forward looking. It has been evidenced by reforms undertaken and thrust of Government of India in infrastructure. Programmes like Make in India, Digital India and expediting high value and critical projects will drive manufacturing growth which augurs well for metal sector as well.

The Industry

Refined copper production of the Country during the year 2014-15 has increased by 18 per cent at 7.6 lakh tonnes, as compared to 6.5 lakh tonne in FY 2013-14. During 2014-15, the consumption has increased by 5 per cent at around 6.0 lakh tonne. The consumption growth during 2015-16 is expected to be around 7 per cent.

During current fiscal, sectors like cables, transformer has shown impressive growth of around 8 to 10 per cent. Going forward, further softening of interest rate by RBI will ease the liquidity crunch currently faced by the Industry and drive investment in the infrastructure sectors. This will further increase the domestic consumption of copper.

On the price front, the Industry is witnessing a gradual decline of LME copper price in FY 2014-15. Compared to FY 13-14, the average copper price has declined by 8% during FY 2014-15. China accounts for 40% of the global demand and any change in their economic factors, considerably impacts the international prices. Recent developments in the financial market at China has plunged the LME price and is hovering at six year low. However, we are optimistic that the price will again rebound on the backdrop of Chinese Government economic programme for near term that comprise around 36 billion euro targeting infrastructure improvement. We also see a major structural changes in investment across emerging countries which is directed towards a sustainable models based on consumption.

I would now like to briefly present the key features of your Company's performance during 2014-15.

Production

Friends! FY 2014-15 has been extremely challenging year for the Company. The copper ore production in India during the fiscal 2014-15 was 3.5 million tonnes as compared to 3.8 million tonnes in 2013-14. Metal-in-Concentrate (MIC), was 24,878 metric tonne as compared to 32,276 metric tonne. Mine production after attaining a peak in 2013-14 has witness a sharp decline in FY 2014-15. Though ore production declined by 8%, the MIC production has declined by 23% compared to last year.

Most of the factors contributing to the decline were external to our operations, key reasons were:

- Stoppage of Surda mine operations from 8th September'2014 complying with the order of Jharkhand Government in view of the Judgement of the Apex Court.
- Decline in ore grade at Malanjkhand mine and unseasonal rains due to cyclone "Hudhud" around 165mm of rain fall in day, leading to submergence of lower benches of the mine for additional three months.
- Extreme Water shortage at our Rajasthan Unit at Khetri.

Since then, all the issues have been addressed, I am happy to inform that with our concerted efforts, Surda mine production has re-commenced from 17.6.2015, at Malanjkhand mine, adequate facilities has been installed to address such mine flooding situation and water crisis at Khetri Copper Complex has been addressed for the near term. This has led to the improvement in MIC production by 12% in the current year.

Copper cathode production during 2014-15 was 21,205 metric tonnes as against 22,825 metric tonnes in the previous year, the production suffered due to less production from the mine.

Financial

As mentioned above, the fall in MIC production has a cascading effect on the financial performance of the Company which was further compounded by steep fall in LME prices by 20% in fourth Quarter of 2014-15. During 2014-15, your Company has posted a Profit before tax of Rs. 80.45 crore compared to Rs 430.65 crore in the previous year. As on 31st March, 2015, the Net Worth of the Company stood at Rs.1895.0 crore.

The Sales Turnover achieved during the year was Rs.1127.0 crore as compared to Rs 1616 crore in the previous year. I also like to mention that the Company is laying more emphasis on initiatives to reduce the cost of production and internal improvement programmes are afoot to generate additional revenue. During 2014-15, the improvement measures have yielded a revenue gain of Rs 40.0 crore to your Company.

Dividend

The Board of Directors of your Company have recommended payment of dividend @ 3% on equity, i.e., Re 0.15 per share of Rs. 5/- face value for the year 2014-15, for approval of shareholders in the Annual General Meeting. The outgo on this account will be Rs.13.88 crore for dividend and Rs 2.83 crore towards tax on dividend, aggregating to a total outgo of Rs16.71 crore.

Growth Initiatives:

Given the fact that HCL has huge natural resource of copper, your Company is implementing the mine expansion projects to increase the mine production capacity by four times. The start up of these projects at site has been considerably delayed due to delay in obtaining statutory clearance like Environment and Forest Clearances. However, with close follow up with the concerned agencies and the State Governments, during the year we have obtained environment clearances for Rakha, Kendadih Khetri & Kolihan expansion projects. Also, long pending clearances from Standing Committee of National Wildlife Board has been obtained for Malanjkhanda underground mine which is the flagship project of your Company. The foundation stone laying ceremony was held on 12th April 2015 at Malanjkhanda in the gracious presence of Hon'ble Union Minister for Steel & Mines and the Chief Minister of M.P.

During the year, it is heartening to inform that your Company has acquired secured assets including land and plant & machinery of Jhagadia Copper Limited located at District Bharuch, Gujarat from Arcil, Mumbai through SARFAESI Act at cost of Rs 210.0 crore. The plant is having State-of-the-Art technology to produce 50,000 metric tonne of copper cathode. The possession of the site has taken place on 30th April 2015 and refurbishment work has started. The plant has been named as Gujarat Copper Project. The acquisition will significantly complement our existing smelting operations and provide an opportunity to venture into profitable business of recycling of e-scrap in an environment friendly manner.

Bench scale study of "Hydro-Metallurgy" technology for sulphide copper ore has been successful and thereafter pilot test has been commissioned at M/s Outotec, Finland. Initial results of the test have been encouraging. Friends! Nickel is present in the small portion of our Surda mine concentrate and it was extracted till date due to inherent constraint. I am glad to inform that we have identified a world class technology for extraction of nickel. The project is expected to start yielding results from the next fiscal.

Going forward, we have also initiated actions to venture into high margin products in the downstream segment through a Joint Venture. We expect that this will contribute significantly to the profitability of the Company in the years to come.

Corporate Governance

The philosophy of the Company in relation to corporate governance is to ensure transparency, disclosures and reporting that conforms fully with

the laws and regulations of the country in order to promote ethical conduct and practices throughout the organization for enhancing stakeholders' value. Your Company is committed to comply with the provisions of Clause 49 of the Listing Agreement relating to the Corporate Governance and the guidelines on Corporate Governance for Central Public Sector Enterprises (CPSEs) issued by the Department of Public Enterprises, Government of India.

The option of voting on proposed resolutions through electronic mode has been given to members in compliance of section 108 of the companies Act, 2013. The Annual Report for 2014-15 has been sent electronically to those members whose e-mail addresses are registered with the Registrar and Transfer Agent (RTA) of your Company or Depository Participant, and who have not opted for receiving the Annual Report in physical form. I look forward to receiving your full support in this endeavour to contribute towards a greener environment.

A separate section on corporate governance furnishing applicable details forms part of the Directors' Report.

Responsibility Towards Society

Your Company is committed to fulfil its social responsibilities for making positive impact on society through a planned set of initiatives as per the relevant provisions of The Companies Act, 2013 and Companies CSR Policy Rules, 2014.

During 2014-15, the Company has spent an amount of Rs.7.26 crores on CSR and Sustainability.

The Company has taken up several projects for Sustainable Development and Corporate Social Responsibility (CSR) with a aim to positively uplift the lives of the communities around its area of operations. Major activities undertaken are for Promoting Health Care, Sanitation and Drinking Water Facility, Promoting Livelihood opportunities, Environmental sustainability, Promoting Sports and various Rural Development Projects.

Under Swach Bharat mission, your company has fulfilled the target set by Government of India. A total 203 toilets were built across the States of Madhya Pradesh, Rajasthan & Jharkhand at cost of around Rs 2.09 crore.

Accolades & Recognitions

Your Company has been consistently receiving recognitions in various spheres of its activities. A few of the significant recognitions received in the recent past include the following.

- i. The Quality Circle team from Khetri Copper Complex & Taloja Copper Project won awards during the Chapter Convention on Quality Concepts held at Kolkata.
- ii. HCL has been conferred the SKOCH Order of Merit for CSR project namely 'Systematic Rice Intensification' and has been selected as amongst the best projects in the Country in November, 2014
- iii. HCL was endorsed the '50 Most Caring Companies of India' by the World CSR Conference.
- iv. HCL was awarded the 'The IME Journal Mining Innovation Award' in the field of 'Mining Technology & Ore Recovery with effective Environmental Management, & CSR Initiatives for Sustainable Development on 21st June, 2014 in New Delhi.
- v. In the safety performance award, Malanjkhand mine has won first prize in open cast working under the aegis of DGMS (Nagpur region I & II).
- vi. Seven individual prizes & special prize on first aid were won by Mine rescue team in All India Rescue competition 2014-15 held at Ramgarh, Jharkhand.

Auditors' comments

The Statutory Auditors' Report has already been circulated to all the shareholders. I am glad to inform you that the C&AG after having reviewed your Company's accounts for the year ending 31st March, 2015 have given a '**Nil**' report.

Acknowledgement

Before I conclude, on behalf of the Board of Directors of your Company, I wish to convey earnest thanks to all the Share holders for your continued support and trust in us. This motivates us to excel in all our pursuits and constant endeavour to create value for you.

I take this opportunity to thank the Ministry of Mines for their unstinted support and valuable guidance. I also acknowledge the support extended by the State Governments and all other authorities and regulatory agencies.

I would like to thank my colleagues on the Board for their valuable guidance and contribution in steering the Company to higher levels of achievement.

Above all, I would like to place on record the commendable efforts and commitments shown by our most valued resource, i.e. the Human Resource of the Company as our employees have always contributed their best for the Company to set new benchmarks.

On behalf of the Board, I also take the opportunity to acknowledge the efforts, commitment and constructive cooperation of the Trade Unions and their representatives in the operation the Company.

I thank you all once again and offer my best wishes for a very joyous festive season ahead.

Kolkata
17th August, 2015

K D Diwan
Chairman-cum-Managing Director

(This does not purport to be a record of the proceedings of the Annual General Meeting)